Canada Revenue Agency | Agence du revenu du Canada

Moving Expenses Deduction

Claiming moving expenses

You can claim eligible moving expenses if one of the following applies:

- You moved to a **new home** to work or to run a business out of a **new location**
- You moved to be a student in **full-time** attendance in a post-secondary program at a university, college or other educational institution

Complete Part 2 of Form T1-M, Moving Expenses Deduction, to determine if you meet the distance requirement to claim your moving expenses. To qualify, your new home must be at least **40 kilometres** closer (by the shortest public route) to your new work location or school.

You must complete a separate Form T1-M for each eligible move. Enter the total from line 29 in Part 4 of each form on line 21900 of your Income Tax and Benefit Return.

Employed or self-employed

If you are employed or self-employed, you can deduct eligible moving expenses from the employment or self-employment income you earned at your new work location, including amounts you received under the Wage Earner Protection Program for your employment at the new work location.

You **cannot** deduct moving expenses from any other type of income, such as investment income or employment insurance benefits, even if you received this income at the new location.

Full-time student

You can claim eligible moving expenses if you moved to be a student in full-time attendance in a post-secondary program at a university, college or other educational institution. However, you can only deduct these expenses from the parts of your scholarships, fellowships, bursaries, certain prizes or research grants that are required to be included in your income.

You can also claim moving expenses if you moved **to work**, including summer employment, or to run a business. However, you can only deduct these expenses from the employment or self-employment income you earned at the new work location.

You can claim moving expenses you incur at the beginning of each academic period as long as you meet the **40-kilometre** requirement outlined in Part 2 of Form T1-M and you earned income at your new work location.

For co-operative students moving back after a summer break or a work semester, you can also claim your moving expenses as long as you meet the requirements mentioned above.

For more information, see Guide P105, Students and Income Tax.

Calculating your allowable moving expenses (Part 4)

You can claim most amounts that you paid for moving yourself, your family, and your household items. Not all household members have to travel together or at the same time.

Transportation and storage costs (line 4)

You can claim transportation and storage costs (such as packing, hauling, movers, in-transit storage and insurance) for household items, including boats and trailers.

Travel expenses (lines 5 to 7)

You can claim travel expenses, including vehicle expenses, meals, and accommodation, to move you and your household members to your new home. You can choose to claim vehicle and meal expenses using one of the following two calculation methods.

Calculation methods

There are two methods (**detailed** and **simplified**) to calculate the meal and vehicle amounts you spent.

If you choose to use the **detailed method** to calculate your meal expenses, you must keep all of your receipts and claim the actual amount that you spent. If you choose to use this method to calculate your vehicle expenses, you must keep all receipts and records for the vehicle expenses. Claim the actual amount that you spent for your moving expenses during the tax year.

If you choose to use the **simplified method** to calculate your meal expenses, you may claim a flat rate per person. Although you do not have to keep detailed receipts for actual expenses, the Canada Revenue Agency (CRA) may still ask you to send documents to support your claim.

If you choose to use this method to calculate the amount to claim for vehicle expenses, multiply the number of kilometres by the cents/km rate for the province or territory where the travel began. The CRA may still ask you to send documents to support your claim. You must keep track of the number of kilometres driven during the tax year for the trips related to your moving expenses. To find out the rates for the simplified method, go to **canada.ca/taxes-travel-costs**.

Temporary living expenses (line 9 and line 10)

You can claim costs for a **maximum** of 15 days for meals and temporary lodging near the old or new home for you and your household members. If you choose to use the **simplified** method, the CRA may still ask you to send documents showing how long you stayed at the temporary lodging.

Cost of cancelling your lease (line 12)

You can claim the cost of cancelling the lease for your old home. However, you **cannot** claim any rental payments before the cancellation of your lease.

Incidental costs related to your move (line 13)

You can claim any of the following costs:

- changing your address on legal documents
- replacing driving licences and non-commercial vehicle permits (**not** including insurance)
- utility hook-ups and disconnections

Cost to maintain the old home when vacant (line 14)

You can claim up to $5,000 for interest, property taxes, insurance premiums, and the cost of heating and utilities expenses that you paid to maintain your old home when it was vacant after you moved, and during a period when reasonable efforts were made to sell the home.

You **cannot** claim these costs during a period when the old home was rented. The costs must have been incurred when your old home was not occupied by you or any other person who lived with you at the old home just before the move.

Cost of selling the old home (lines 16 to 19)

You can claim the cost of selling your old home, including advertising, notary or legal fees, real estate commission, and mortgage penalty when the mortgage is paid off before maturity.

Cost of buying the new home (line 21 and line 22)

If you or your spouse or common-law partner sold your old home because of your move, you can claim the legal or notary fees you paid to buy your new home, as well as any taxes paid (other than GST/HST) for the transfer or registration of title to the new home.

Reimbursement or allowance you received for your move (line 25)

If you received a reimbursement or an allowance from your employer for your eligible moving expenses, you can **only** claim your moving expenses if you include the amount you received in your income or if you reduce your moving expenses by the amount received.

The CRA may ask you to send a letter from your employer saying that you were not reimbursed for the moving expenses you are claiming.

Expenses you paid in a year after you moved

If your moving expenses were paid in a year after the year of your move, you can claim the expenses against your employment or self-employment income earned at the new work location on your return for the year that you paid them.

This also applies to students reporting a taxable amount of scholarships, fellowships, bursaries, certain prizes or research grants.

This may happen if your old home did not sell until after the year of your move. If this is the case, the CRA may ask you to send this form with the receipts and explain the delay in selling your home. However, you **cannot** carry back moving expenses to a prior year. For example, if you paid moving expenses in the current year for a move that occurred in a prior year, you **cannot** claim the expenses paid in the current year on your prior year return. This is the case even if you earned employment income, self-employment income, or received a taxable amount of scholarships, fellowships, bursaries, certain prizes or research grants at the new location in the prior year.

Your net eligible income (line 28)

If you are an **employee**, your net eligible income is calculated by taking the amounts reported on your T4 or T4A slips (relating to the new work location) included on lines 10100 or 10400 minus any amounts relating to the new work location claimed on lines 20700, 21200, 22215, 22900, 23100, and 23200 of your return.

If you are **self-employed**, your net eligible income is usually calculated by taking the net amounts earned at the new work location that are included on lines 13500, 13700, 13900, 14100, and 14300, minus any related amounts claimed on lines 21200 and 22200 of your return.

If you are a **student**, your net eligible income is calculated by taking the amounts of scholarships, fellowships, bursaries, certain prizes and research grant required to be included in your income for the year.

Unused moving expenses available to carry forward to a future year (line 30)

If you are **employed** or **self-employed** and your net moving expenses (line 26) paid in the year of the move are **more than** your net eligible income (line 28) earned at the new work location in that same year, you can carry forward and deduct the unused part of those expenses from the employment or self-employment income you earn at the new work location and report on your return in a future year.

If you are a **full-time** student and your net moving expenses (line 26) paid in the year of the move are **more than** the scholarships, fellowships, bursaries, certain prizes and research grants required to be included in your income for the year (line 28), you can carry forward and deduct the unused part of those expenses from the same type of income you receive and report on your return in a future year.

Ineligible moving expenses

You **cannot** claim any of the following expenses:

- expenses for work done to make your old home more saleable
- any loss from the sale of your home
- travel expenses for house-hunting trips before you move
- travel expenses for job hunting in another city
- the value of items movers refused to take, such as plants, frozen food, ammunition, paint, and cleaning products
- expenses to clean or repair a rented home to meet the landlord's standards
- expenses to replace personal-use items such as tool sheds, firewood, drapes, and carpets
- mail-forwarding costs (such as with Canada Post)
- costs of transformers or adaptors for household appliances
- costs incurred in the sale of your old home if you delayed selling for investment purposes or until the real estate market improved
- mortgage default insurance

Generally, you **cannot** deduct the cost of moving a mobile home. However, if you have personal items in a mobile home when it is moved, you can deduct the cost of moving the home as long as it is not more than the estimated cost of moving those personal items separately.

If you moved to Canada, from Canada, or between two locations outside Canada

If you moved to or from Canada

If you meet all of the conditions and requirements for claiming moving expenses from page 1, you can claim eligible expenses for a move to or from Canada if both of the following apply:

- You are a **full-time** student (including co-operative student), **or** a **factual** or **deemed** resident of Canada
- You moved from the place where you normally lived to live in another place where you normally lived

You **cannot** claim moving expenses if you rent an apartment in another country where you are working temporarily and you maintain residential ties in Canada (for example, your spouse and children remain in your home in Canada) because your home in Canada is where the CRA considers you to normally lived.

If you moved between two locations outside Canada

If you meet all of the conditions and requirements for claiming moving expenses from page 1, you can claim eligible expenses for a move between **two** locations outside Canada if you are a **factual** or **deemed** resident of Canada.

For more information, see Income Tax Folio S5-F1-C1, Determining an Individual's Residence Status, or section "Deemed residents of Canada" in the Income Tax and Benefit Guide for Non-Residents and Deemed Residents of Canada.

If you need help

For more information, see Income Tax Folio S1-F3-C4, Moving Expenses, go to **canada.ca/taxes**.

Teletypewriter (TTY) and Video Relay Service (VRS) users

If you use a TTY for a hearing or speech impairment, call **1-800-665-0354**.

Register with Canada VRS to download the app, by going to **srvcanadavrs.ca/en/get-the-app**, and call the VRS line.

If you use another operator-assisted relay service, call the CRA's regular telephone numbers instead of the TTY or Canada VRS numbers.